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Disclosure: *Former-employer disclosure: NiCE is a former employer of the author. All NiCE research here is public-source only; no LinkedIn queries or visits were made for NiCE or Cognyte. The parent report is published at https://productbeacon.agency/research/state-of-wem-2026/.*

Workforce Engagement Management (WEM) covers the software that schedules, measures, coaches and assists contact-centre staff, and increasingly the AI agents working beside them.

This week's main developments

- California's Governor signed all five workplace and customer-service AI bills we track and vetoed none. One bans AI that reads workers' emotions from 1 January 2027.
- Another requires large businesses to try to connect California customers to a person within 15 minutes, or book a callback within one business day.
- Salesforce signed an agreement to buy Listen Labs, which simulates customers for research. No price was disclosed; the reported $2 billion remains unconfirmed.
- TCN bought Abstrakt, which sells live call prompts and automatic call scoring. It is the first purchase of a call-scoring specialist in our coverage.
- Fitch says Verint has made about 85% of its planned cost cuts and expects revenue to dip. Two independent vendors now openly pitch its customers to switch.
- Bloomberg reports Apple shelved a plan to cut about 5,000 support staff. Apple kept its AI phone assistant.

California signs its workplace and chatbot AI bills

- The Governor signed AB 1609 on 28 September and AB 1883, SB 947, SB 951 and AB 1331 on 30 September, the deadline. He vetoed none of the five.
- **Emotion AI (AB 1883):** from 1 January 2027, employers may not use AI workplace tools to recognise or predict a person's emotional state, or to collect neural data.
- The law still allows tools used "to ensure safety." Employment lawyers at Fisher Phillips call the reach of that exception "an open question."
- The Governor's signing letter says the law "lacks key definitions" and asks lawmakers to refine it. Penalties are up to $500 per violation.
- Fisher Phillips advises employers to review contact-centre and wellbeing software for features labelled "sentiment, tone, engagement, mood, stress, wellbeing, or burnout."
- **Reaching a human (AB 1609):** businesses with over $500 million in revenue must not present a chatbot as human. They must offer a way to request a person on every customer-service channel during business hours.
- They must make a good-faith effort to connect within 15 minutes, or book a callback within one business day. Single holds must stay under 15 minutes, and all holds under an hour.
- Like most California laws, AB 1609 takes effect on 1 January 2027. Public prosecutors enforce it; customers cannot sue.
- **Discipline (SB 947):** from 1 July 2027, an automated score cannot be the only basis for discipline or firing. If an employer primarily relies on it, a person must corroborate it.

- **Layoffs (SB 951):** from 1 January 2027, layoff notices must say when AI caused the cuts. The state will publish quarterly summaries and report on AI-driven hiring freezes by 2028.
- **Surveillance (AB 1331):** narrowed before passage, it now only bans workplace surveillance in bathrooms.
- The Governor vetoed AB 2656, which would have required 45 days' notice to public-sector unions before generative AI takes on their work. He called it "redundant administrative layers."
- **Our view:** California now regulates how AI judges and reads workers, and how quickly customers can reach a person. It declined to require notice before AI takes over work.
- **Why it matters:** contact centres serving California need a staffed human escalation queue that meets a legal service level. Agent stress and wellbeing scores face a ban from January.
- **Watch:** the clean-up bills the Governor requested, and whether vendors rename, limit or remove emotion features. We found none doing so yet.

Other regulatory developments

- **Connecticut:** AI disclosure in mass-layoff notices took effect on 1 October. The state has not yet published a form or guidance.
- **Colorado:** no revised automated-decision rules have been posted. The hearing is on 26 October.
- **United Kingdom:** the consultation on workplace monitoring closed on 30 September with no government statement. The Trades Union Congress asked for a statutory code of practice.
- **European Union:** no enforcement action on workplace emotion recognition surfaced in the official sources checked.
- **Kistler v. Eightfold AI:** there is still no ruling on whether AI applicant scores fall under US credit-reporting law.

Salesforce agrees to buy Listen Labs

- Salesforce signed a definitive agreement on 29 September to buy Listen Labs, an AI platform for customer research and customer simulation. It disclosed no price.
- Business Insider reported talks at about $2 billion on 9 September. That figure remains unconfirmed.
- Salesforce expects the deal to close between November 2026 and January 2027, subject to regulatory clearance.
- Salesforce says the deal complements its service and marketing clouds. Listen Labs joins Salesforce AI Labs, which also runs Fin.
- **Our view:** this buys research and simulation, not customer service. It follows Salesforce's purchase of Fin, completed on 10 September.
- Salesforce's own contact-centre service had not launched in the UK or EU by 3 October. Its price page still lists other regions as "Not currently available."

HMRC picks Salesforce for customer records, beside NiCE's contact centre

- The UK tax authority, HMRC, awarded Salesforce its customer-records contract on 8 September. The award notice values it at £2.0 billion before VAT over ten years.
- The Register reported the award on 29 September. HMRC's contact-centre contract stays with Capgemini, worth up to £600 million including VAT.
- CX Foundation reports that contact centre runs on NiCE's CXone and Cognigy software.
- **Our view:** at Britain's largest public contact centre, Salesforce won the records system and NiCE kept the contact centre. One award does not prove a pattern.

A call-scoring specialist is acquired

- TCN, a cloud contact-centre software company, bought Abstrakt on 1 October. Abstrakt sells live call prompts and automatic call scoring. Terms were not disclosed.
- TCN says it will fold Abstrakt into its platform and workforce optimisation services. The two companies were partners before the deal.
- Neither company is on our tracked list. It is still the first purchase of a call-scoring specialist since our coverage began in July.
- Separately, TechCrunch reports Modulate raised $25 million. Its voice models detect deepfakes and assess how AI agents handle customer calls.

Verint cuts costs while independents pitch its customers

- Fitch affirmed its 'B' rating on 28 September for Calabrio, the Thoma Bravo company that now trades as Verint.
- Fitch says about 85% of a $187 million cost-cutting programme is done. It expects revenue to fall in fiscal 2027 as licences move to subscriptions.
- Fitch expects the owner to favour small "tuck-in acquisitions" over paying down debt.
- Fitch names a risk that customers adopt "standalone generative AI tools instead of dedicated WFM/CX platforms."
- Verint's only release this week was analyst recognition. It has still not announced a combined Verint and Calabrio product.
- On 28 September Level AI and Assembled published a guide to leaving "legacy platforms like Verint or Calabrio."
- They say their link-up books coaching sessions into quiet slots on agent schedules "automatically." This is a blog claim, not a dated product release.
- **Our view:** the merger shows so far in costs and a shared name, not a combined product. Independents now name it as their target.

Other workforce management moves

- **Cisne:** says it is the validated workforce management partner on Avaya's integration list. It writes that "AI-handled volume is now a staffing input."
- **Aspect:** says its planners still own "the real-time decisions," with software flagging when demand diverges from the plan.
- **Microsoft:** its quality scoring can now evaluate the bot part or the human part of a conversation separately. Its public roadmap shows no contact-centre workforce management item.

Coaching and training tools change shape

- Zenarate, known for letting agents rehearse calls with an AI customer, rebranded on 1 October as a platform "for humans and AI."
- It now sells three products: practice and coaching, analysis, and AI agents. It says most customers start with practice and add AI agents later.
- Zenarate argues that "QA is not the answer," because a scorecard shows compliance, not the customer's experience over time.
- Balto released Kodi on 28 September, an AI helper for contact-centre managers. It recommends changes to call prompts, coaching and scorecards, and makes them once a manager approves.
- **Our view:** the best-known simulation specialist now treats practice as the way in, not the whole business.

AI agents report high resolution rates in live use

- Genesys reports Brazilian retailer Riachuelo resolves 84% of WhatsApp customers' needs without an employee, against 30% with its earlier chatbots.
- Riachuelo used Genesys's helper for staff first, then added the AI agent. Its customer story reports quality-review staff fell from 12 to two, with the others moved to other work.
- Salesforce reports Canada Goose's agent resolves 89% of routine messages and 15% of calls on its own. Canada Goose says staff moved into revenue-generating roles.
- These are vendor-published figures, with no volumes or time periods.
- **Why it matters:** voice still lags messaging badly. Planners should expect AI to absorb chat volume well before calls.

Apple reportedly shelves support job cuts

- Bloomberg reports Apple considered cutting about 5,000 support staff, expecting AI agents to take over some of their work. MacRumors reports the plans are on hold indefinitely.
- Apple's US and Canadian support line still routes calls to an AI assistant that can transfer to a person. Apple has not commented.

- **Our view:** this pauses job cuts without pulling back the AI. It is the largest shelved support cut in our coverage.

New ways to buy AI agents, and more AI callers

- OpenAI opened a business marketplace on 29 September. Sierra, Decagon and Salesforce are among the launch partners.
- Eligible customers can apply part of their existing OpenAI spending commitment to partner products. Sierra's launch post says: "Pay for outcomes, not tokens."
- Decagon launched modules on 1 October that take its agents into sales, onboarding and collections. It also launched a gateway for customers' personal AI agents.
- Lorikeet estimates "up to 3 percent" of inbound support traffic already comes from AI agents and other automated systems. It gives no sample size.
- **Why it matters:** workforce plans may soon need to forecast contacts made by customers' own AI agents as a separate type of work.

Pricing: no move back to seats

- No tracked vendor moved from per-resolution pricing back to per-seat pricing. We re-read eight public price pages on 3 October.
- Salesforce renamed its top employee tier "Agentforce Max" and raised its yearly credit allowance. Customer-facing agents stay at $2 per conversation.
- Lorikeet added a 30-day free trial. Its per-resolution prices did not change.
- Microsoft will switch on usage billing by default for new small-business Copilot licences from 1 December, delayed from 2 November. The default cap is 4,000 credits per user a month.
- Microsoft's contact-centre price list did not change. Summaries and the agent desktop stay inside the seat.
- Zendesk named a new chief financial officer on 29 September. It has published nothing further on its chief executive's "seats are dead" remark.

Other company developments

- **NiCE:** Oppenheimer upgraded the shares to Outperform on 30 September, and they rose 4.2% that day. Its analyst says about 75% of NiCE Cognigy bookings attach to CXone.
- **NiCE and Actimize:** the reported sale talks with Brookfield remain unconfirmed. Globes reports NiCE "did not respond." NiCE has not yet announced its third-quarter results date.
- **Sierra:** its agent-building assistant now works inside Slack and Teams. Upstarts reports new customers including Hyatt, Santander, Uber and Virgin Media O2.

- **Five9:** published no release or filing. Its blog now argues AI can add agent seats, citing Gartner and Metrigy figures we have not checked.
- **Cresta:** a licence page on its site shows an AI receptionist sold through Comcast. Neither company has announced it.

Prediction updates

This is our periodic check of the annual report's eighteen predictions. Assessments combine this week's developments with earlier evidence.

Our assessment: twelve supported, one showing early signs, one mixed, two weakened, one unchanged and one not triggered.

Changes since the last check on 12 September:

- **Emotion-AI restrictions:** from still untested to supported, because California enacted its ban.
- **The independent middle consolidates:** from unchanged to early signs, after TCN's purchase and Fitch's note on acquisitions.
- **Specialists defend through depth:** from weakened to mixed, as independent vendors pair up against suites.
- **Completion replaces deflection:** from supported in positioning to supported, qualified, now that customers report live resolution rates.

Shared platforms and pricing

Prediction	Assessment	Key qualification
One shared human/AI engine	Strong support	Microsoft scores bot and human in one quality tool; Verint still has no combined product.
Repricing and seat displacement	Supported, qualified	Outcome prices hold; displacement stays two-sided, with Apple pausing cuts.
Disproof test: return to seat pricing	Not triggered	Of the five large vendors named, only Salesforce lists a per-conversation price; it held at $2.

Quality and analytics

Prediction	Assessment	Key qualification
AI changes quality teams' work	Strong support	Riachuelo reports quality-review staff cut from 12 to two, with the rest moved to other work.

Prediction	Assessment	Key qualification
Specialists defend through depth	Mixed	Level AI and Assembled pitch Verint's customers; Zenarate and Abstrakt move into platforms.
The independent middle consolidates	Early signs	TCN bought Abstrakt, a small vendor; no vendor of Level AI's size has been absorbed.

Workforce management

Prediction	Assessment	Key qualification
Autonomous intraday scheduling	Weakened	Only narrow automatic actions are claimed; Aspect keeps planners in charge.
Verint/Calabrio product integration	Unchanged	Fitch reports cost cuts and one trading name, but no combined product.
Planning combines people and AI	Strong support	Cisne treats AI-handled volume as a staffing input; California sets a human service level.

Performance and engagement

Prediction	Assessment	Key qualification
Emotion-AI restrictions constrain use	Supported	California's ban starts in 2027; a safety exception leaves its reach open.
Coaching competes on outcomes	Supported, qualified	Zenarate and Balto sell the loop from finding to fix; outcomes are vendor-reported.
Simulation protects independents	Weakened	Zenarate, the best-known simulation specialist, now adds AI agents to practice.

Agent assistance

Prediction	Assessment	Key qualification
Assist coordinates a shared engine	Strong support	Riachuelo bought Genesys's staff helper first, then its AI agent.

Prediction	Assessment	Key qualification
Automated summaries drive adoption	Strong support	No new after-call-work figures in three weeks; Microsoft keeps summaries in the seat.
Human assist stays in seat prices	Supported, qualified	Microsoft meters agent work on top of the seat; Zendesk says it will drop seats.

Autonomous customer experience

Prediction	Assessment	Key qualification
Outcome pricing replaces seats	Supported where published	Fin, Zendesk, Lorikeet and Salesforce prices held; Sierra and Decagon publish none.
Who acts determines the charging model	Strong support	Salesforce sells employee agents per user and customer agents per conversation.
Completion replaces deflection	Supported, qualified	Riachuelo and Canada Goose report live rates; figures are vendor-published.

- **Disproof-test qualification:** NiCE, Genesys and Five9 never listed per-resolution prices publicly. As worded, the test can only fire for a vendor that publishes one.
- **Emotion-AI qualification:** no vendor has yet withdrawn or limited an emotion feature, and the Governor has asked for clearer definitions.

What to watch

- **Customer events:** Parloa on 7 and 8 October, Five9 on 12 and 13 October, Observe.AI on 13 and 14 October.
- **Salesforce, October:** the UK and EU contact-centre launch, and when workforce management ships.
- **Colorado, by about 21 October:** the revised automated-decision rules, ahead of the 26 October hearing.
- **NiCE:** its third-quarter results date, and whether NiCE or Brookfield confirms an Actimize deal.
- **California, before 1 January 2027:** clean-up bills, and any vendor changes to emotion or wellbeing features.
- **Microsoft, 1 December:** default usage billing for new small-business Copilot licences.
- **Zendesk, by March 2027:** the promised move away from seats.

- **New companies surfaced, not yet tracked:** TCN and Abstrakt (assist and quality), Modulate (voice analysis of AI-agent calls) and Instinct (a personal-agent app that calls businesses for its users).

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